

The Economics of Brexit

Lecture 1: Evolution of the European institutions

Dr David Chivers

Macroeconomic Applications and Policy

Module outline

Michaelmas Term

- **Lectures 1–5:** The Economics of Brexit (David Chivers)
- **Lectures 6–10:** Financial Globalisation: A Reappraisal (Sara Eugeni)

Epiphany Term

- **Lectures 1–5:** Optimal Currency Areas (Xiaoshan Chen)
- **Lectures 6–10:** The International Monetary System (Sara Eugeni)

Easter Term

- **Revision Lecture 1:** David and Xiaoshan
- **Revision Lecture 2:** Sara

Assessment

Summative exam

- Two-hour written, in-person exam, worth **100%** of the overall mark.
- Four sections, with two questions in each section.
- Answer **four questions**, at least one from each section.

Formative test

- Two questions, one from each topic in Term 1.
- **1,500 words** maximum.
- Feedback on how to improve for the summative exam.
- Submission deadline: first week of Term 2.

Exam structure

Answer **four questions**, at least one from each section. Each question carries equal weight.

Section	Questions
A	1 and 2
B	3 and 4
C	5 and 6
D	7 and 8

Learning objectives

- Understand why France, Italy, West Germany and the Benelux countries started the process of European integration in the early 1950s.
- Understand the political and economic incentives for other countries to join the EU in successive waves of enlargement.
- Understand the evolution of the European institutions in their historical context.

"A kind of United States of Europe"



"Yet all the while there is a remedy... It is to re-create the European Family, or as much of it as we can, and to provide it with a structure under which it can dwell in peace, in safety and in freedom. We must build a kind of United States of Europe."

Winston Churchill

Zurich, 19 September 1946

A climate for radical change

Death and destruction in the Second World War

Country	Death toll	Pre-war year when GDP equalled that of 1945
Austria	525,000	1886
Belgium	82,750	1924
Denmark	4,250	1936
Finland	79,000	1938
France	505,750	1891
Germany	6,363,000	1908
Italy	355,500	1909
Netherlands	250,000	1912
Norway	10,250	1937
Sweden	0	GDP grew during the war
Switzerland	0	GDP grew during the war
UK	325,000	GDP grew during the war

Source: Crafts and Toniolo (1996), p. 4 (GDP); Encarta (deaths). Figures from the original lecture.

The question in 1945

How can Europe avoid another war?

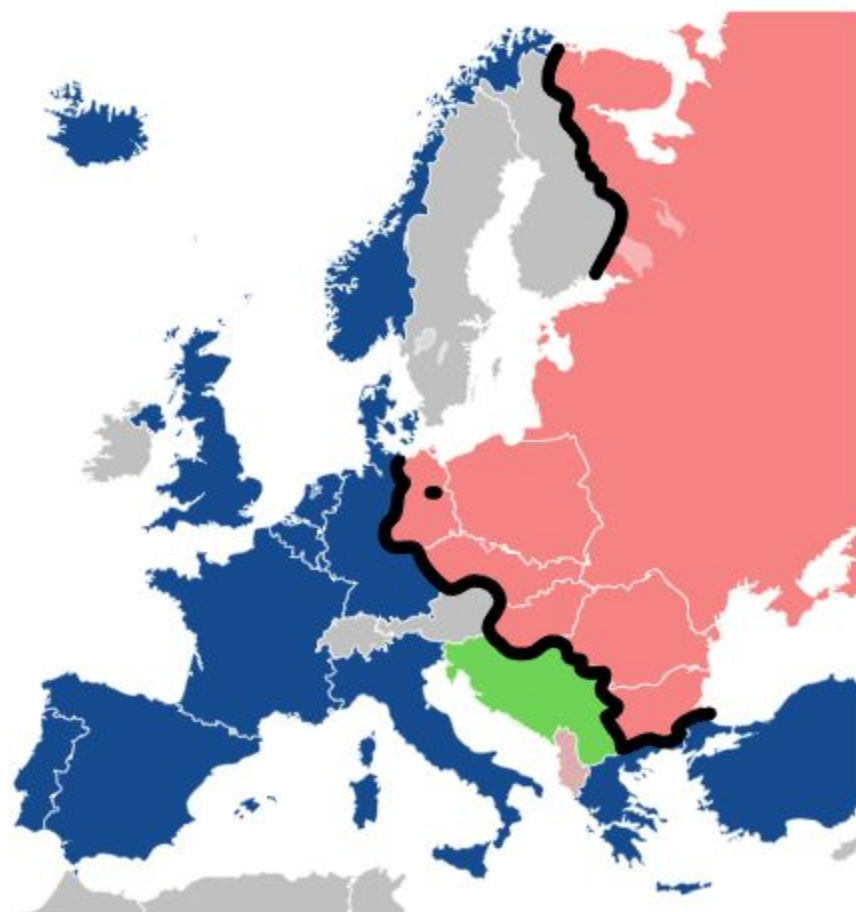
What caused the war?

1. Blame Germany.
2. Blame capitalism.
3. Blame nationalism.

Three different solutions

1. "Neuter" Germany: the Morgenthau Plan of 1944.
2. Adopt communism.
3. Pursue European integration.

The Iron Curtain



-  **Western bloc**
NATO
-  **Eastern bloc**
Warsaw Pact
-  Neutral countries
-  Non-aligned Yugoslavia
-  Albania: left the Warsaw Pact in 1968
-  Iron Curtain

Later Cold War alignments; memberships changed over time. Map: [Sémhur / Wikimedia Commons](#), [CC BY-SA 4.0](#), unchanged.

The role of the Cold War

- The Soviet vision is strongly rejected by the US and the UK, leading to the Cold War.
- A strong Germany is needed as a cushion against the communists.
- The US, UK and French zones merge.
- The Federal Republic of Germany is established in 1949.

The merger of the French, US and UK zones was a defining moment in Europe and a precursor of European integration.

Not only idealism

- **The French:** Franco-German economic integration to avoid another war and counterbalance US–UK influence on the Continent.
- **The British and the Americans:** counter the spread of communism in Europe.
- **The Germans:** a route to re-establish Germany as a “normal” nation.
- **The Italians:** counterbalance communism and shut the door on fascism forever.
- **The Benelux nations:** avoid another Franco-German war.

First steps

- The **OEEC** (now OECD) is created to administer US aid to Europe: the Marshall Plan.
- A first wave of trade liberalisation and the creation of the **EPU** facilitate payments.
- Can trade liberalisation help growth and industrialisation?



President Truman signs the Foreign Assistance Act, 3 April 1948. [George C. Marshall Foundation](#), p. 11.

Western European trade and output growth in manufactures, 1950–58

Country	GDP growth (% per annum)	Manufacturing export growth (% per annum)
Germany (West)	7.8	19.7
Italy	5.0	9.2
Netherlands	4.3	11.7
UK	2.0	1.8
France	4.4	3.8

Source as cited in the original table: Milward (1992), Table 4.1.

A disagreement about the depth

Intergovernmentalism

Nations retain all sovereignty.

- OEEC (1948)
- Council of Europe (1949)
- Court of Human Rights (1950)
- EFTA (1960)

Federalism

Supranational institutions.

- **ECSC (1951):** Belgium, France, Germany, Italy, the Netherlands and Luxembourg (the “Six”) place coal and steel under a supranational authority.
- **EEC (1957):** the Six commit to a customs union, free labour mobility, capital-market integration, free trade in services and common policies.

The Treaty of Rome: main goals

- *"The elimination, as between Member States, of customs duties and quantitative restrictions on the imports and export of goods, and of all other measures having equivalent effect" and "the establishment of a common customs tariff and of a common commercial policy towards third countries".*
- *"The abolition, as between Member States, of obstacles to freedom of movement for persons, services and capital".*
- The adoption of common policies in agriculture, transport and other areas.
- The establishment of supranational institutions: the European Commission, European Parliamentary Assembly and European Court of Justice.



Signing of the Treaty of Rome, 1957.

Situation in the late 1960s

Two separate trade blocs

■ **EEC: six members**

A customs union

■ **EFTA: seven members**

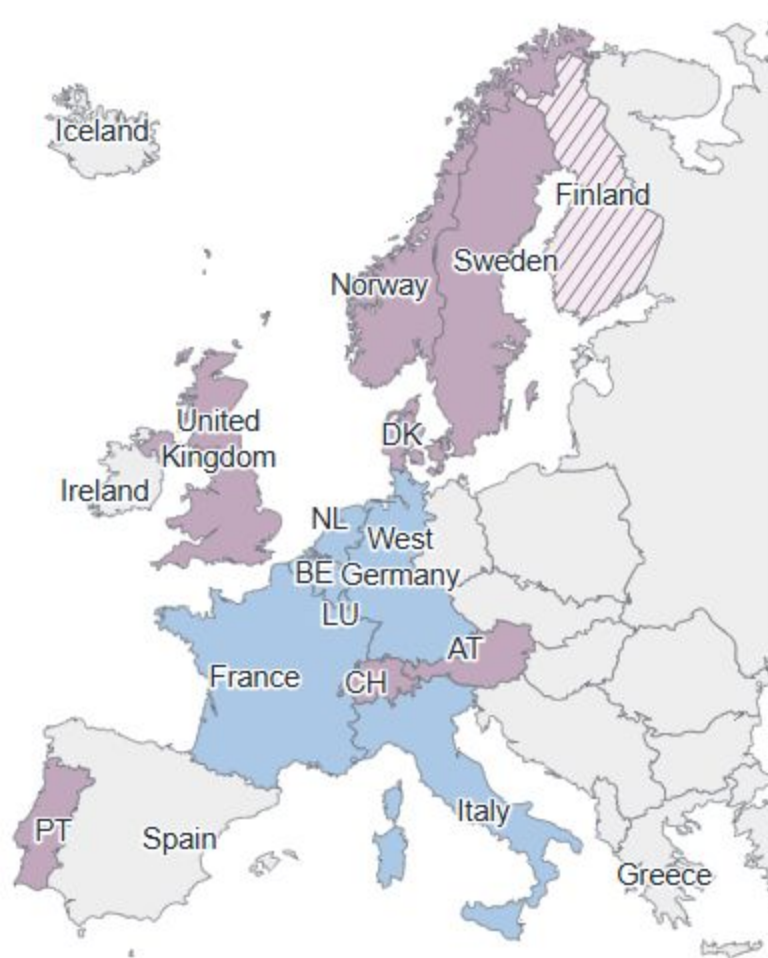
A free-trade area

▨ Finland: EFTA associate

AT Austria · BE Belgium · CH Switzerland

DK Denmark · LU Luxembourg

NL Netherlands · PT Portugal



Historical membership: Baldwin and Wyplosz; [EFTA](#). Map adapted from [Sémhur](#), [CC BY-SA 4.0](#).

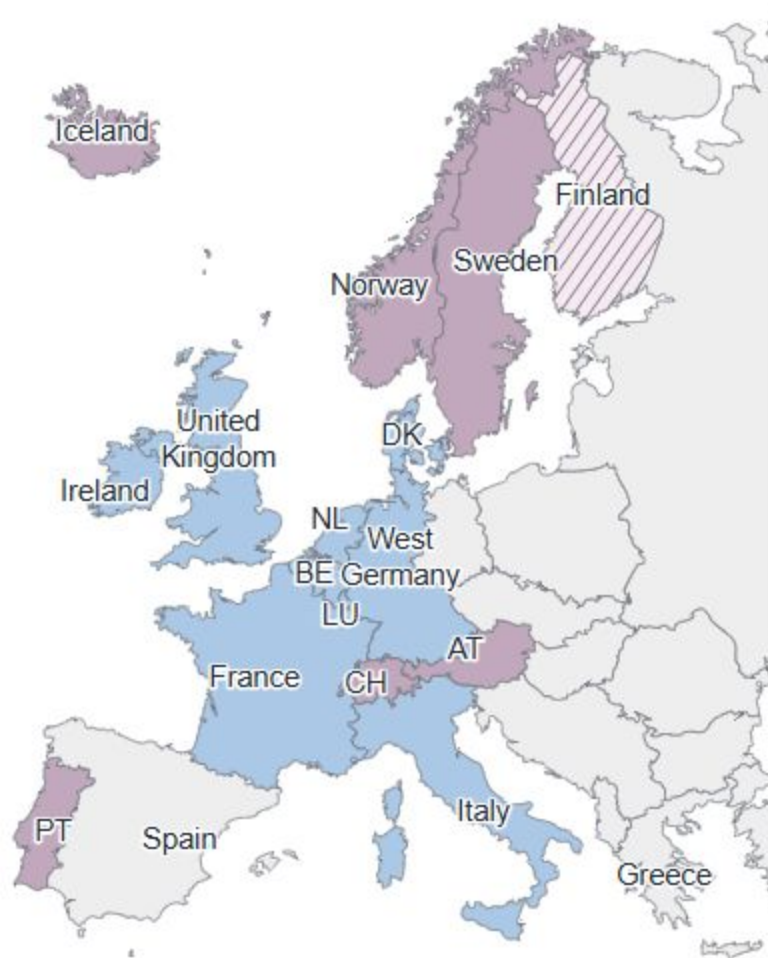
The “domino effect”

- EEC incomes were growing twice as fast.
- The aggregate GDP of the EEC was much larger than EFTA: the **market-size effect**.

The UK, Ireland and Denmark join in 1973.

- EEC: nine members
- EFTA members
- ▨ Finland: associate

Industrial free-trade agreements now link the two blocs.



Mid-1970s; industrial tariffs phased out by 1977. [EFTA history](#). Map adapted from [Sémhur](#), CC BY-SA 4.0.

Looking for freedom?

David Hasselhoff above the Berlin Wall, 31 December 1989.
Photograph: Wöstmann/picture alliance/Getty Images, via [TIME](#).



Single market programme: 1 January 1993

Implementing the “four freedoms”

Goods trade: removing non-tariff barriers

- Streamline or eliminate border formalities.
- Harmonise VAT rates within wide bands.
- Liberalise government procurement.
- Harmonise and mutually recognise technical standards in production, packaging and marketing.

Factor-market liberalisation

- Remove all capital controls.
- The Erasmus programme is launched in 1987.

European integration in the 1990s

Enlargement

- Deeper integration in the EU12 induces a new “domino effect”.
- Finland, Sweden and Austria join in **1995**.
- The EU sets the **Copenhagen criteria** for the accession of Central and Eastern European countries.

Deepening

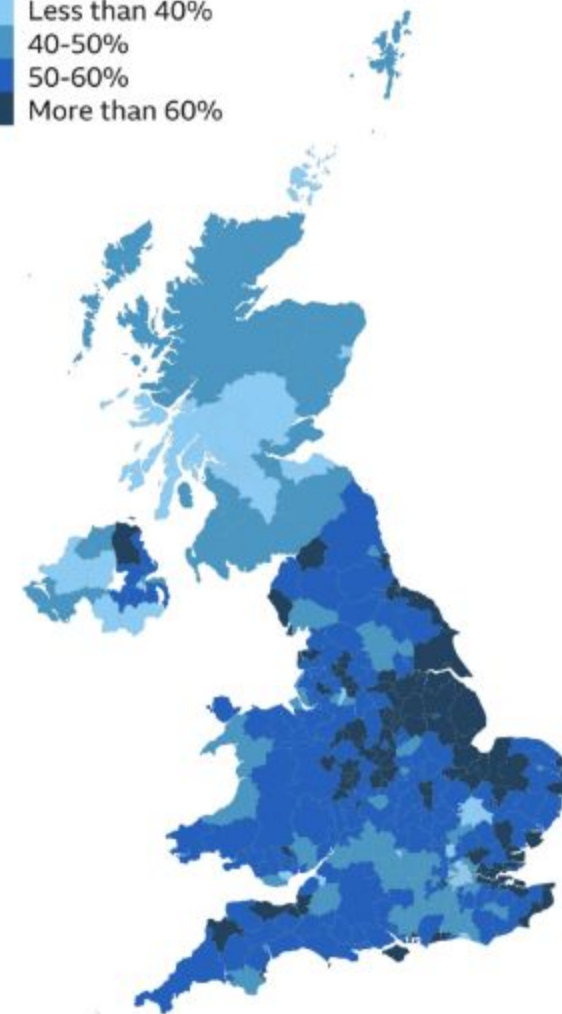
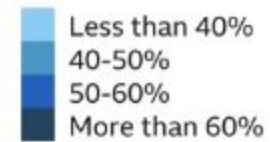
- The **Maastricht Treaty**, signed in 1992, commits EU countries to monetary union by 1999 and a single currency by 2002.
- The **Schengen Agreement**, implemented in 1995, abolishes checks at borders.



Maastricht summit, December 1991. The treaty was signed in February 1992.

Brexit vote, 2016

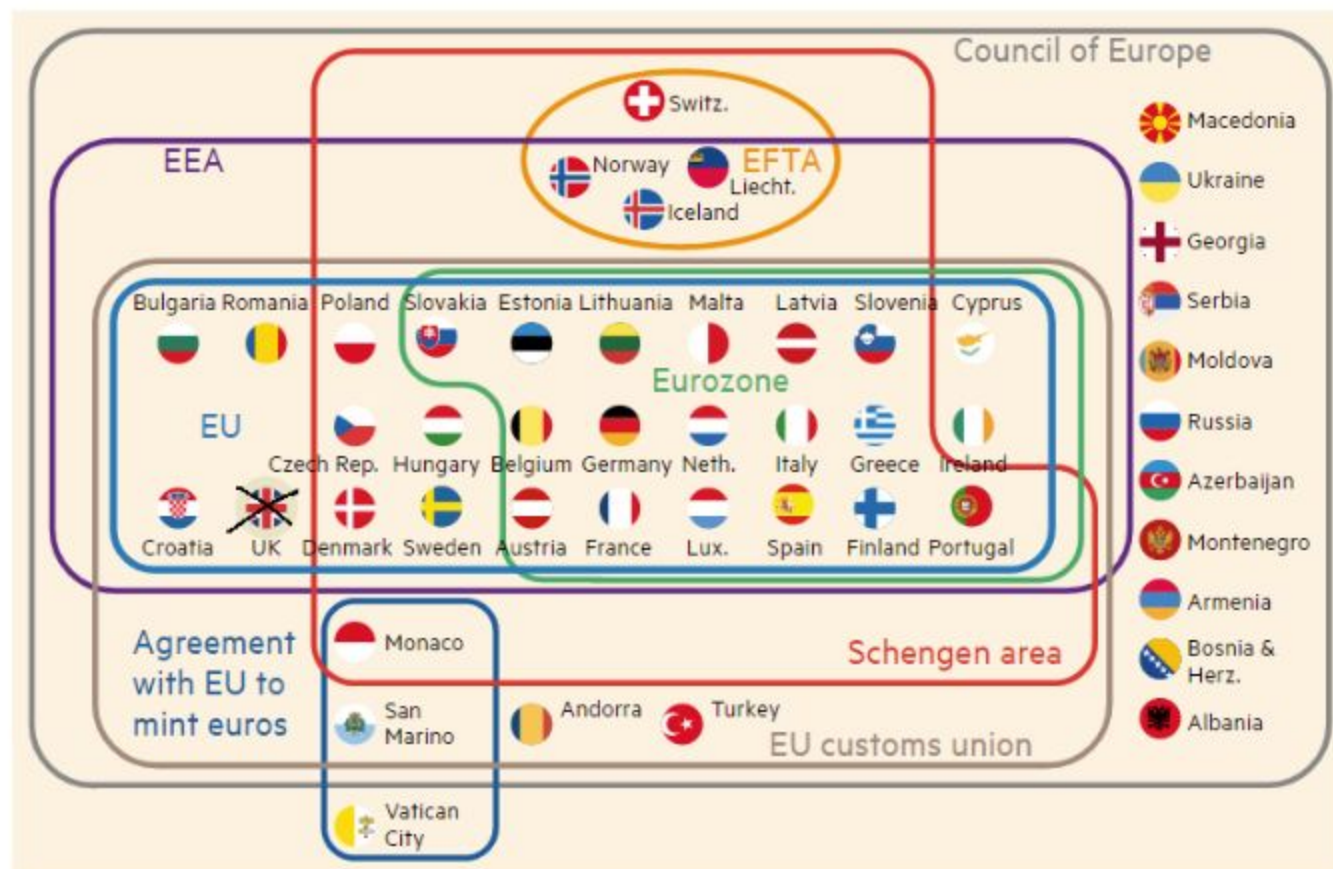
Leave share of the vote



4% of Gibraltar also voted to Leave
Source: Electoral Commission

BBC

The future place of the UK?



Historical membership diagram and UK annotation reproduced from the original lecture.

Summing up: the economics of European integration

- European countries wanted to avoid another war and its economic destruction. Federalism and intergovernmentalism offered ways to counter extreme nationalism and its consequences.
- The European Union proved a magnet for even initially reluctant outsiders: the **market-size and domino effects**, alongside its pro-democratic role.
- **Enlargement and deepening involve a trade-off:** governance issues and disagreements across member states.

Next lecture

We will examine the formation and completion of the customs union in Europe: the welfare effects of eliminating tariff and non-tariff barriers.

Preparation: revise consumer surplus and producer surplus.

References

Essential reading

Baldwin and Wyplosz, *The Economics of European Integration*, **Chapter 1 (any edition)**.

The [Talis reading list](#) links to the 2022 seventh edition online.

Further reading

See the [ECON2271 Talis reading list](#), also available through Blackboard.

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